Chapter 6:

Practical Trading Insights

In this chapter, we will explore the pricing of options. We will try to understand the various costs associated with options trading.

We will start with the Black-Scholes (B-S) model, a standard choice for option pricing. It has turned into a cornerstone of financial modelling. We will discuss how to interpret B-S model outputs, its assumptions, and resulting limitations.

In this chapter, you will also gain insights into the costs that options trading entails, including income taxes, taxes on services used, and purchase costs. It will let you accurately assess and establish profitability conditions.

6.1 Pricing Options Using the Black-Scholes Model

In 1973, economists Fischer Black and Myron Scholes and sociologist Robert Merton developed the Black-Scholes (B-S) model. It is still widely regarded as one of the best methods for determining the fair price of options.

The B-S model incorporates a comprehensive range of factors influencing an option's price. **Its input parameters include:**

- Strike Price
- Time Until Expiry
- Stock Price
- Volatility
- Dividends
- Risk-free Interest Rate

Given the flexibility of the B-S model, it can also value bonds, commodities, and other assets.